

Pearlmark Real Estate, L.L.C.

Subject: *Pearlmark Real Estate Overview — June 2026* (22-pp confidential offering overview) | **Offerings:** PRSM I (senior debt) · Mezz VI (mezzanine credit) · PEP II (value-add equity)

Prepared: 2026-06-17 · **Basis:** the June 2026 packet + primary filings as of this date · **Method:** two-mode (first-principles disconfirmation + primary-source claim verification: SEC Form ADV / EDGAR Form D, public-company proxies, court records, corporate press).

Verdict — not investable as pitched; conditional proceed only after the \$6 asks are closed. Pearlmark is a **real, Generali-backed manager with clean, verified principals and no disciplinary history.** But the overview is a **promotional document whose three load-bearing credibility claims — the track record, the fund sizes, and the "skin-in-the-game" identity — each diverge from the firm's own filings and footnotes.** Nothing here is fraud: the firm is **honest in the endnotes and promotional in the headlines.** The diligence signal is that divergence. Treat the headline numbers as unconfirmed until the seven asks are answered in writing.

1 · Summary scorecard

Claim	Verdict	Conf.
Principal bios (Quazzo, Lyons)	VERIFIED — clean	High
Conning 55.5% (Mar 2023) → Generali (Apr 2024) ownership	VERIFIED	High
Conning Investment Products placement agent (FINRA B-D, CRD 66444)	VERIFIED	High
Disciplinary history (former RIA)	VERIFIED — none	High
PRSM I "first close Dec 2025 at over \$450M"	REFUTED — Form D: \$0 sold, "first sale yet to occur"	High
PEP II "\$267M" / Mezz VI "\$440M raised"	DISCREPANCY — largest single Form D: \$133.0M / \$378.7M	Med-High
PEP I "3rd of 70 / 51.5% net return"	MISLEADING — metric relabel + unrealized self-marks; rank UNVERIFIABLE	High
"30-yr / \$14.7B / 600+ / cycle-tested" attributable to team	MISLEADING — orphaned (Endnote 3); gross volume ≠ performance	High
"~\$2.6B AUM," custody, current conflicts	UNVERIFIABLE — no live Pearlmark Form ADV (not clean, unconfirmable)	High

2 · First-principles findings (ranked by severity)

SEVERE **Marketed fund sizes are not substantiated by the only filings on record**

PRSM I "first closing... December 2025 at over \$450M." The Form D filed **2025-12-17** reports **Total Amount Sold = \$0** and **"Date of First Sale: Yet to Occur."** The \$1.5B target is real; the \$450M close is not in the filing. (Timing nuance: Form D is due within 15 days of first sale, so a genuine close could post-date a \$0 filing — but "closed at over \$450M" is unsupported by the only document and must be reconciled.)

PEP II "\$267M." Latest Form D (D/A 2025-03-10) main vehicle shows **\$133.0M sold / 18 investors**. \$267M appears only as a cross-fund/SMA roll-up no single filing substantiates; no post-"final close" (July 2025) amendment reflects it. The offerings page also implies a **\$300M target that was missed**.

Mezz VI "\$440M raised." Main-fund Form D (D/A 2025-08-11) shows **\$378.7M sold / 18 investors**. \$440M reconciles only by adding feeder/SMA tranches that **partly double-count** the same capital. First close Aug 2024 — verified.

HIGH The track record is orphaned and self-marked

"PEP I — 3rd of 70 2012-vintage funds, tracking to a 51.5% net return." The p.13 footnote defines the *ranking* as net **IRR**; the headline "51.5% net return" is **not labeled IRR** and is coherent only as a cumulative/multiple figure — two metrics fused into one boast. "*Tracking to generate*" on a fund that should be fully realized = **unrealized value at Pearlmark's own marks** (Endnote 2); the slide footnote itself calls it **"hypothetical... not representative."** The "3rd of 70" rank is unverifiable (Preqin paywalled) and ranks *marks*, not realized DPI.

"Since 1996 — \$14.7B, 600+ investments, 30 years, cycle-tested." Endnote 3 says the predecessor (Transwestern, 1996–2012) strategies are **"not comparable,"** and that **"all of the personnel... responsible for managing the predecessor funds are not employed by Pearlmark with the exception of Messrs. Quazzo and Lyons."** The 30-year record is carried by **two people**; \$14.7B is a **gross-deployment tally, not a return record**.

"Market-cycle tested" is selective. Court records confirm **Transwestern Mezzanine Realty Partners II foreclosed on the 500 W. Monroe office tower (Chicago) in 2011** (*Broadway 500 W. Monroe Mezz II v. Transwestern Mezz II*, 80 A.D.3d 483). The deck discloses the predecessor **for-sale-condo mezz book was discontinued** and warehouse leverage dropped from Mezz III on. Honest reading: "tested, partly failed, exited the failing strategies." (To the firm's credit, current funds repudiate that structure — no warehouse/repo/CLO leverage.)

MOD-HIGH "Skin in the game" pillar contradicted by structure

Pillar #1 ("Principal investors vs. advisors — skin in the game, true ownership mindset") conflicts with pp.19–20: the founders **sold 55.5% control to Conning (Mar 2023), ultimately Generali (Apr 2024)**; Pearlmark is now an **insurance-captive affiliate** under a Conning/Generali-controlled Board of Managers. GP co-invest is thin: **~1.2% on flagship Mezz VI (\$5.9M/\$500M+), ~3.5% on PEP II (\$9.3M/\$267M)**. Disclosed — but the headline pillar diverges from it.

MOD-HIGH Cross-capital-stack conflict, likely anchored by parent capital

Pearlmark runs **senior (PRSM I) + mezzanine (Mezz VI) + value-add equity (PEP II)** across the same middle-market assets. In a workout, the debt funds' interests (foreclose) are **adverse** to the equity fund's (extend). PRSM I's **"\$700M lead investor" is structurally most likely Generali insurance capital** (probable, not confirmed) — making outside LPs **minority co-investors alongside the parent**, with the manager incentivized toward the parent's asset-liability needs.

MODERATE Key-person risk and no standalone live RIA

Two near-retirement founders (**Quazzo is 66**) are the **only retained track-record carriers**, atop a thin post-acquisition bench with **five "[Pending Hire]" roles**. Separately, the standalone **Pearlmark RIA (CRD 165471) deregistered 4/9/2018**; post-Conning the advisory activity likely runs under Conning's registration — so **no Pearlmark-specific Form ADV** exists to verify "\$2.6B AUM," custody, or current conflicts.

3 • What is genuinely good (balance)

- **+ Deep, permanent-capital parent (Generali)** — a real positive for a debt fund's stability and staying power.
- **+ Conservative PRSM I structure** — no warehouse/repo/CLO leverage; only a fund-level facility on unfunded commitments.
- **+ Principals verified clean** — Quazzo (ex-Goldman RE, ex-Zell, 22-yr Starwood board, current VAC + PECO director) and Lyons; no embellishment, no disciplinary history.
- **+ Market thesis is real and well-timed** — the CRE debt-maturity wall and bank retrenchment favor alternative lenders.

4 • Per-offering read

	PRSM I — senior debt	Mezz VI — mezzanine	PEP II — value-add equity
Target return	~7% net IRR	10–12% net IRR	13–16% net IRR
Filing status	Form D shows \$0 closed	\$378.7M (vs "\$440M")	\$133.0M (vs "\$267M"); missed \$300M target
Biggest concern	"\$450M closed" unsupported; least differentiated (plain senior CRE debt)	Strategy whose own GFC history is the cautionary tale	Worst track-record-attribution risk (PEP I "51.5%" is the predecessor equity fund)
Net	Most defensible of the three; verify the close	Diligence Mezz I/II loss history first	Highest scrutiny; demand realized PEP I performance

5 • Methodology & sources

Primary-source verified. **UNVERIFIABLE** is flagged as such and is not treated as clean.

- **SEC IAPD / Form ADV** — Pearlmark Investment Advisers LLC, CRD #165471 (registration terminated 4/9/2018; no current Pearlmark RIA found).
- **SEC EDGAR Form D** — PRSM I (CIK 2094783), Mezz VI (CIK 2033178 + feeders), PEP II (CIK 1969024 + feeders).
- **Public-company proxies** — Marriott Vacations Worldwide (VAC) & Phillips Edison & Co. (PECO) DEF 14A 2026 (board seats; Quazzo age 66).
- **Corporate press** — Conning majority acquisition closed Mar 2023; Generali acquisition of Conning closed Apr 3, 2024.
- **Court / trade records** — *Broadway 500 W. Monroe Mezz II v. Transwestern Mezzanine Realty Partners II*, 80 A.D.3d 483 (N.Y. App. Div. 2011); Crain's Chicago Business (500 W. Monroe distress, 2011).

6 • Diligence asks — questions to send Pearlmark

ON THE TRACK RECORD

1. Provide **PEP I's realized DPI and net IRR**, clearly labeled, with the **realized-vs-unrealized split**, and confirm whether "51.5%" is a net IRR or a cumulative/multiple return. What share of value remains unrealized, and at what hold assumptions?
2. Break out the **\$14.7B / 600+ investment record between the Transwestern era (1996–2012) and the Pearlmark era (2012–present)**, and provide **gross-to-net** performance for the Pearlmark-era funds (Mezz III–VI, PEP I–II).
3. What were the **realized loss rates on the discontinued Mezz I/II for-sale-condo book**, and on the broader GFC-era mezzanine portfolio?

ON THE FUND SIZES

4. **Reconcile each fund's marketed size to its Form D**: PRSM I's actual closed/funded amount vs "over \$450M" (the 12/17/2025 Form D shows \$0); PEP II's "\$267M" vs the \$133.0M on the latest filing; Mezz VI's "\$440M" vs \$378.7M — identifying each feeder/SMA tranche and confirming no double-counting.

ON CONFLICTS AND ALIGNMENT

5. Provide the **affiliate-transaction and allocation policy and the LPAC consent rights** governing cross-fund deals, and confirm whether any PRSM I or Mezz VI loan currently sits in the capital stack of a PEP I/II asset.
6. **Identify the PRSM I "\$700M lead investor"** and disclose any **Generali/affiliate side-letter, MFN, or preferential-allocation terms**. Are outside LPs co-investing pari-passu with the anchor?

ON THE FIRM

7. Confirm a **key-person clause covering both Quazzo and Lyons** and provide the **written succession plan**; and identify the **registered investment adviser of record** for these funds today (Conning's RIA?) with its current Form ADV.

Diligence opinion on a marketing document, for the recipient's internal use only. Not investment, legal, or tax advice and not a recommendation. Findings are based on the June 2026 overview and primary filings available as of 2026-06-17; "UNVERIFIABLE" denotes claims that could not be confirmed from primary sources and are not represented as either true or false. Sources are cited in §5.